

ASCI MASTER FLOW – PANEL 1/12: Finance timing map

EX-ANTE -> MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER

EX-POST -> RELIEF REALLOCATION BORROWING APPEAL

RETAIN / TRANSFER / SHARE

TIMING DOES NOT PROVE RISK REDUCTION

ASCII MASTER FLOW – PANEL 2/12: Statutory fund grid

s.46 NATIONAL RESPONSE FUND

s.47 NATIONAL MITIGATION FUND

s.48 STATE RESPONSE + MITIGATION FUNDS

FUND != FORCE; RESPONSE != MITIGATION

ASCII MASTER FLOW – PANEL 3/12: Liquidity ladder

ANNUAL BUDGET / CONTINGENCY RESERVE

PRE-ARRANGED DRAWDOWN / CONTINGENT FINANCE

INSURANCE / POOL

EXCEPTIONAL BORROWING / EXTERNAL SUPPORT

ASCII MASTER FLOW – PANEL 4/12: Risk-bearer map

UNION <-> STATE <-> LOCAL BODY / UTILITY
FIRM / HOUSEHOLD / COMMUNITY
LIQUIDITY AT ONE LAYER MAY NOT REACH ANOTHER
MATCH INSTRUMENT TO OWNER AND LOSS TYPE

ASCII MASTER FLOW – PANEL 5/12: Insurance split

INDEMNITY -> VERIFIED COVERED LOSS

PARAMETRIC -> INDEX CROSSES THRESHOLD

INDEMNITY: ASSESSMENT DELAY

PARAMETRIC: BASIS RISK

ASCII MASTER FLOW – PANEL 6/12: Risk-pool test

POOL PARTICIPANTS / EXPOSURES

ARE RISKS SUFFICIENTLY DIVERSE?

PRICE ENTRY RESERVE AND PAYOUT GOVERNANCE

CORRELATED LOSS CAN OVERWHELM NOMINAL DIVERSIFICATION

ASCII MASTER FLOW – PANEL 7/12: Cat-bond boundary

DEFINED RISK LAYER + TRIGGER

INVESTOR CAPITAL AT RISK

TRIGGER EVENT -> PRINCIPAL / INTEREST LOSS -> ISSUER FINANCE

CONCEPT ONLY UNLESS DATED DEPLOYMENT IS VERIFIED

ASCII MASTER FLOW – PANEL 8/12: Insurance incentives

MORAL HAZARD -> BEHAVIOUR AFTER PROTECTION

ADVERSE SELECTION -> HIGHER-RISK DEMAND / INFORMATION

TOOLS -> DEDUCTIBLE PRICING CONDITIONS DISCLOSURE

SAFEGUARD -> AFFORDABILITY AND INCLUSION

ASCII MASTER FLOW – PANEL 9/12: Fiscal protection spine

ASSESS FISCAL EXPOSURE

LAYER RETENTION PRE-ARRANGED AND TRANSFER

PROTECT ESSENTIAL-SERVICE LIQUIDITY

REPORT ALLOCATION EXPENDITURE COVERAGE AND OUTCOME

ASCII MASTER FLOW – PANEL 10/12: Assessment firewall

DAMAGE -> PHYSICAL ASSET EFFECT

LOSS -> FLOW / ECONOMIC EFFECT

NEEDS -> COSTED RECOVERY REQUIREMENT

METHOD BASELINE DATE AND UNCERTAINTY MUST BE EXPLICIT

MUST REMEMBER: Disaster finance combines ex-ante risk reduction, preparedness,...

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ASCII MASTER FLOW – PANEL 11/12: Build Back Better gate

SAFER SITE / STANDARD / SERVICE DESIGN

TENURE LIVELIHOOD ACCESSIBILITY PARTICIPATION

ENVIRONMENT MAINTENANCE AND FUTURE CLIMATE RISK

REJECT REBUILDING THAT RECREATES OR TRANSFERS RISK

CLOSE DISTINCTION: Budget provision is not allocation, allocation is not release, release...

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ASCII MASTER FLOW – PANEL 12/12: Disaster-finance answer spine

CLASSIFY TIMING PURPOSE TRIGGER AND RISK BEARER

MAP STATUTORY FUNDS RESERVES INSURANCE POOLS AND CONCEPTUAL BONDS

ADD BASIS RISK INCENTIVES AFFORDABILITY AND FISCAL PROTECTION

TEST WHETHER FINANCE PRODUCED EQUITABLE BUILD BACK BETTER

EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Name fund, legal basis, finance tier,...

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